

Housing Affordability and Real Estate Market in Canada

ECON 204 – Contemporary Economic Issues

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- Changes in affordability affect inequality, intergenerational mobility, and financial stability.
- Since the mid-2000s, and especially after the COVID-19 pandemic, prices and rents rose faster than incomes in many regions.
- After 2022, higher interest rates slowed price growth, but affordability remained strained due to higher borrowing costs and tighter rental markets.

What Is Housing Affordability?

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- Affordability is a relationship, not a price level.
- High prices do not automatically imply unaffordability if incomes are high or financing costs are low.
- Moderate prices can be unaffordable if incomes are low or credit conditions are tight.

- A widely used indicator is the price-to-income ratio:

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- Historically, PTI ratios around 3–4 were common in many Canadian cities.
- Ratios above 7–8 reflect a breakdown in the traditional link between incomes and housing prices.

Worked Numerical Example: Price-to-Income Ratio

Worked Numerical Example

Suppose the median house price in a Canadian city is \$900,000 and the median household income is \$110,000. The price-to-income ratio is:

$$PTI = \frac{900,000}{110,000} \approx 8.18.$$

This implies that the price of a typical home is more than eight times annual household income, a level widely regarded as severely unaffordable.

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- This measure is especially important in Canada, where mortgage payments can change significantly at renewal.

Worked Numerical Example: Shelter Burden

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A household earns \$6,000 per month after tax. If mortgage payments, property taxes, and utilities sum to \$2,700 per month, the shelter burden is:

$$\frac{2,700}{6,000} = 45\%.$$

This household is housing-cost burdened even if the home value is high.

Affordability Metrics: Summary Table

Metric	Definition	Economic Interpretation
Price-to-income (PTI)	ratio $PTI = \frac{\text{House Price}}{\text{Annual Household Income}}$	Captures the gap between prices and incomes; highlights long-run affordability stress.
Shelter burden	$\text{Burden} = \frac{\text{Monthly Housing Costs}}{\text{Monthly Income}}$	Captures cash-flow pressure; central when borrowing costs reset at mortgage renewal.

Housing as a Consumption Good and an Asset

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- Second, housing is also a store of wealth and an investment asset.
- Expectations about future house prices influence demand, similar to how expected stock returns influence stock demand.

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- Buyers may stretch financially today because they expect capital gains tomorrow.
- As a result, housing prices can diverge from fundamentals such as rents or incomes.

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- In City B, households expect prices to rise by 5 percent per year.
- Demand for ownership will be higher in City B because buyers expect capital gains.
- House prices in City B will be higher and the price-to-rent ratio will be larger, even if rental fundamentals are identical.

Demand-Side Drivers of Housing Affordability in Canada

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- In Canada, demand forces have been unusually strong and persistent.
- The impact on affordability depends critically on the responsiveness of housing supply.
- When supply adjusts slowly, demand increases show up mainly as higher prices and rents rather than more housing.

Population Growth and Household Formation

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- Affordability deteriorates when household formation exceeds housing completions.
- Effects are pronounced in large metropolitan areas where inflows are concentrated.

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- Housing prices can reflect the purchasing power of the upper part of the income distribution rather than the median household.
- This can generate widespread affordability challenges even when aggregate income indicators appear strong.

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- Rate increases reduce borrowing capacity, but can worsen affordability in the short run through renewal payment increases and tighter rental markets.

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- These dynamics can occur even among forward-looking and risk-aware households.

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- Large cohorts entering prime home-buying ages increase demand for ownership housing.
- Longer life expectancy and aging in place reduce turnover in the existing housing stock.
- Affordability constraints delay homeownership for younger households, increasing rental demand and raising rents.

- Housing demand is increasingly concentrated in large urban centres where jobs and amenities cluster.

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- Even if national supply expands, affordability can deteriorate locally when demand is spatially concentrated and supply responses are slow.
- Spillovers occur as households priced out of central cities relocate outward, transmitting demand pressure across regions.

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- Supply elasticity determines whether adjustment occurs through quantities (construction) or prices.

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- In elastic markets: higher prices lead to substantial increases in construction.
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- Evidence indicates supply is relatively inelastic in many large Canadian metropolitan areas.

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- Developer delays reduce the ability to respond quickly to rising prices, reinforcing affordability pressures.

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- These constraints become binding during rapid demand growth.

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- Elevated prices can become embedded if households and investors expect constraints to persist.
- Scarcity rations access through prices: higher-income households absorb increases more easily.
- Lower- and middle-income households shift to smaller dwellings, longer commutes, or renting, increasing inequality and spatial segregation.

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Canadian Housing Market Case Studies

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- Comparing regions shows how shared forces (population growth, rates, income dynamics) interact with local supply elasticity and policy environments.
- There is no single Canadian housing market; there are distinct local markets responding to common pressures.

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- Prices can become disconnected from local incomes due to investment demand and expectations of appreciation.

Toronto and the Greater Golden Horseshoe: Growth Outpacing the Pipeline

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- Affordability can deteriorate if demand growth exceeds delivery, even when construction expands.

Montreal: From Relative Affordability to Tightening Markets

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- Relative affordability advantages are not permanent; conditions can shift quickly when supply is slow.

Prairie Cities: Elastic Supply with Emerging Pressures

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- Supply responded more than in constrained markets, but not enough to prevent rising prices and rents.
- Even in relatively elastic markets, affordability can deteriorate when demand accelerates rapidly.

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- Lower initial price levels made percentage price increases appear especially large.

Case Studies: Comparison Table

Region	Core Demand Forces	Key Supply Constraints	Affordability Dynamics
Vancouver	Amenities, incomes, population growth, investment demand	Geography + restrictive density constraints	Small demand shocks lead to large price increases; persistent high PTI
Toronto GGH	Immigration + jobs, sustained inflows	Approvals, zoning, long project timelines	Pipeline lags demand; prices and rents remain under pressure
Montreal	Accelerating demand + low-rate legacy	Slow adjustment in supply; tighter rentals	Shift from relative affordability to strained markets
Prairie Cities	Migration-driven demand increases	Capacity constraints when demand surges	More quantity response, but still rising prices/rents recently
Atlantic Canada	Remote-work and migration shocks	Limited construction capacity	Outsized percentage price increases in smaller markets

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- The mortgage renewal channel is particularly important in Canada.
- This channel helps explain why affordability can worsen even if house prices stop rising or fall.
- Canadian mortgages expose households to interest rate risk at renewal rather than locking costs for the full loan life.

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- Rate hikes do not hit all borrowers immediately; impacts arrive as mortgages renew.
- Renewal at higher rates can raise monthly payments substantially even if balances declined modestly.

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- Long-time homeowners with small balances or no mortgage are largely insulated.
- Monetary tightening can redistribute stress and exacerbate intergenerational inequality.

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- Higher rates can delay new construction, constraining future rental supply and reinforcing rent pressure.
- Effects unfold with long and uneven lags; stress can peak well after a tightening cycle begins.

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- A core feature is divergence: housing costs rise faster than household incomes.

A Common Global Pattern

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- In more flexible markets, price increases have been smaller.

The United States: Regional Divergence

- In some cities, supply is highly constrained by zoning, community opposition, and lengthy approvals.
- In these markets, rising demand leads mainly to higher prices and severe affordability pressure.
- In more flexible markets, price increases have been smaller.
- The contrast highlights the central role of supply elasticity.

- Rising house prices push more younger households into renting.

United Kingdom: Rental Affordability and Generational Inequality

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- Renters can face higher effective inflation than homeowners.
- The result is intensified generational inequality in housing cost burdens.

Australia and New Zealand: Extreme Price-to-Income Ratios

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- Drivers include strong population growth, urban concentration, constrained supply, and financial conditions that favor housing as an investment asset.
- These cases show that affordability crises can persist even in high-income countries with stable institutions.

- European countries vary in tenure systems, yet affordability problems have emerged across many cities.

Europe: Different Institutions, Similar Outcomes

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- In major metropolitan areas, limited supply combined with strong demand pushed prices and rents above income growth.
- Convergence across different systems suggests interaction of global demand pressures with local supply constraints.

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- Younger and lower-income households are increasingly excluded from homeownership.
- Housing costs reshape labour mobility, family formation, and inequality.
- In many cases, affordability does not return to pre-boom levels even after markets cool.

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- An international lens clarifies that the issue is broader than a single-country policy failure.

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- Prices, rents, and payments respond differently to economic shocks.
- Affordability can deteriorate even when some indicators improve.
- Understanding these mechanisms is essential for evaluating policy responses and interpreting housing market developments in Canada and abroad.